

TRUMP SAYS UNFROZEN IRANIAN ASSETS WILL BE USED TO BUY MEDICINE AND FOOD FROM THE U.S.

Tehran agreed to n-inspections into ‘infinity’, says Trump; Iran denies

Iran’s missiles are not in the agreement, and ‘will never be’, says Pezeshkian

Reuters
Dubai, Islamabad, June 23

US PRESIDENT Donald Trump said on Tuesday Iran had agreed to nuclear inspections into “infinity”, despite Tehran’s denials, and that unfrozen Iranian assets would be used to buy humanitarian supplies from the US.

Washington agreed to waive sanctions on Iran for 60 days from Monday after the first round of talks under a nascent peace deal.

US Vice President JD Vance said the talks with Iranian officials in Buergenstock laid a good foundation for a final accord and that Tehran had agreed to allow nuclear inspectors back into the country.

But Iran denied it had begun discussions on its nuclear programme at the talks, mediated by Qatar and Pakistan, and said it had not agreed to invite back IAEA inspectors.

At a joint press conference on Tuesday with Pakistan PM in Islamabad, Iranian President Masoud Pezeshkian said Iran’s missiles were not in the MoU and “will never be”.

Iran will never negotiate its defence capabilities with any country and believes strongly that regional peace and stability can only be reached through honest discussions and intraregional cooperation, Pezeshkian added.

Foreign Ministry spokesperson Esmail Baghaei said on Tuesday Iranian officials had not held a meeting with IAEA chief Rafael Grossi in Switzerland and had no plans for IAEA



Displaced residents drive back to their villages following a ceasefire between Israel and Hezbollah in Rmayleh in Lebanon, Tuesday. AP

to inspect Iran’s damaged nuclear facilities.

Trump hit back Tuesday at what he said were Iran’s “protestations and false statements”.

“Iran has fully and completely agreed to highest level Nuclear inspections long into the future (Infinity!!!),” Trump said in a post on Truth Social.

He also said any Iranian assets unfrozen under the deal would be placed in an escrow account and used to buy food and medical supplies from the US “including Corn, Wheat, and Soybeans from our great American Farmers”.

Earlier in the day, Iran’s ambassador to the UN, Ali Bahreini, denied there had been any such agreement. “Iran is the only country to decide what to do with its assets, which are going to be defrozed, and so I reject any claim about that if there would be any role for any other country to have an influence on those decisions or on those processes,” Bahreini told reporters.

The conflicting statements highlighted the uncertainty facing efforts to halt a war that has upended the Middle East.

Bahreini said “good prog-

ress” had been made in the talks and that two working groups would be established in coming days to focus on the removal of sanctions and Iran’s nuclear activities.

He told reporters five parts of the initial deal need to be fully implemented before negotiations begin on the nuclear dossier and any role for the IAEA.

The ambassador said Lebanon was an “unquestionable” part of the interim accord and that it included the withdrawal of Israeli troops from Lebanon.

Israel and Lebanon began a new round of talks in Washington Tuesday, with Beirut determined to press ahead with direct negotiations even as they appear to be overshadowed by Iran’s decision to make Lebanon part of its talks with the US. Lebanon’s presidency said Vance and Secretary of State Marco Rubio told Lebanese President Joseph Aoun in a call that Washington was following up on agreements reached, including plans to establish a joint cell comprising the US, Lebanon and Iran to help consolidate Lebanon ceasefire and monitor implementation of related steps.

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Won’t allow Iran to charge tolls in Hormuz: Rubio

Plan underway to evacuate seafarers stranded in the Gulf, says UN agency

Reuters
Washington, London, June 23

US SECRETARY of State Marco Rubio said on Tuesday that Iran would not be able to charge tolls in the Strait of Hormuz as part of any final agreement with the US while United Nations’ shipping agency said on Tuesday an evacuation plan to enable hundreds of ships with some 11,000 seafarers stranded in the Gulf to sail through the Strait of Hormuz is underway.

Rubio said that an arrangement of charging tolls, if allowed, would be contrary to international law.

Without providing a timeframe, a spokesperson with the UN’s International Maritime Organization (IMO) said, “We have now started contacting the ships to start the evacuation.”

“This large-scale operation will be carried out in close cooperation with Iran, Oman, all other coastal states in the region, the US and the maritime industry,” IMO Secretary-General Arsenio Dominguez said in a statement.

The evacuation process under the IMO plan will be phased due to the “elevated risk of collision in the current environment”, Oman’s defence ministry said in an advisory. The Omani ministry said the so-called Traffic Separation Scheme was “not safe for use at this time” and two temporary routes to the north and south of the scheme could be used for evacuation.

“Vessels will be contacted individually and advised of their allocated transit day by the parties coordinated by IMO,” the ministry advisory said.

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J, NAGPUR, PATNA, PUNE, VADODARA

SHIVRAJ HOLDS REVIEW MEETING

Rainfall 43% deficit so far, kharif crops likely to be hit: Govt

Agri ministry flags 111 districts as 'high priority', prepares contingency plans

Harikishan Sharma & Amitabh Sinha
New Delhi, June 23

WITH INDIA staring at a fairly weak monsoon season this year and kharif crops likely to be impacted, the Agriculture Ministry has formulated contingency plans for districts likely to be most affected due to low rainfall, and identified 111 districts with irrigation coverage of 25 per cent or less as 'high priority' needing intervention, Agriculture Minister Shivraj Singh Chouhan said on Tuesday.

After chairing a review meeting, held over video conference, with state agriculture ministers, senior officials and district collectors, Chouhan said that 315 districts across the country were likely to be affected due to low monsoon rainfall.

"Of these (315 districts), 111 districts are of high priority, where the irrigation coverage is less than 25 per cent; 76 districts are of medium priority, where 25-50 per cent irrigation is available; 128 districts are of low

»CONTINUED ON PAGE 2



Agriculture Minister Shivraj Singh Chouhan chairs a review meeting at Krishi Bhawan in New Delhi, Tuesday. X/@CHOUHANSHIVRAJ

For farmers, *bajra* crop of choice: Short maturity, low water, fertiliser need

Harish Damodaran
Rewari, Alwar,
Dausa, June 23

"I HOPE the monsoon arrives by this month-end. I can sow bajra even it comes by July 15. The problem will be if it's delayed beyond that," says Ramsingh Meena.

The 52-year-old from Jalalpura village in Baijupara tehsil of Rajasthan's Dausa district grows *bajra* or pearl millet on his entire 50-bigha (31 acres) land: "This is the best crop in

»CONTINUED ON PAGE 2



India, US start trade talks

Union Commerce and Industry Minister Piyush Goyal with United States Trade Representative Jamieson Greer and US Ambassador to India Sergio Goro in New Delhi, Tuesday. ANI

EXPLAINED, PAGE 12

E. EXPLAINED

Gloomy forecast

The first half of the monsoon (June-July) was supposed to be slightly better this season. But so far, June has been drier than expected. With El Nino gaining in strength, the outlook for the subsequent months is not very bright. June accounts for 19% of the monsoon rains, July contributes 32%.

Rainfall

priority, where relatively better irrigation is available through dams and other means. The bulk of these districts are in 12 states — Madhya Pradesh, Maharashtra, Gujarat, Uttar Pradesh, Rajasthan, Karnataka, Bihar, Jharkhand, Telangana, Andhra Pradesh, Odisha and Tamil Nadu,” Chouhan said, addressing a press conference after the meeting.

He said a detailed discussion was held with the state agriculture ministers and district collectors, and they were urged to intensify preparations at the local level. “We are facing potential conditions for a weak monsoon due to El Niño — an impact that is already becoming visible, as the monsoon is currently significantly delayed.

Overall, rainfall has been 43 per cent below normal so far. Weather forecasts indicate that conditions are likely to remain weak during the week of July 2nd,” Chouhan said.

The India Meteorological Department (IMD) has said that the country as a whole was expected to receive rains that were only 90 per cent of the long period average during the monsoon season. If that turns out to be the case, it would be the driest monsoon season in India in over a decade. As of now, the situation is looking even more grim.

For June, IMD had predicted 92 per cent rainfall. But with just one week remaining in the month, the shortfall in rainfall over the country as a whole is more than 42 per cent. Of the 36 States and Union Territories, as many as 26 have a deficiency of 20 per cent or more, as on Tuesday. Nine of these have a defi-

ciency of more than 60 per cent. June was predicted to be one of the better months in this monsoon season, with the latter months expected to be more impacted by the El Niño phenomenon. But the progress of the monsoon remained stalled for a week after June 15. It began progressing northwards only on Monday.

Chouhan said the monsoon situation implied a potential impact on the kharif crops. He said that an “El Niño Monitoring Cell” and a “Crop Weather Watch Group” have been constituted in Delhi to continuously analyse the progress of the monsoon, crop sowing, crop conditions, input supplies, and market signals.

States have also been instructed to set up their own control rooms and designate a nodal officer to coordinate with the Centre.

Bajra

kharif (monsoon). It matures in 85-90 days, giving us time to plant mustard (in October) or wheat (in November) during the *rabi* (winter-spring) season”.

Short-duration and suitability to fit into the mustard-wheat crop cycle isn’t the only reason, though. For Meena, *bajra* not only yields an average 40 *mann* (16 quintals; one *mann*=40 kg) of grain per acre, but it also provides *kadbi* (dry fodder) which is 1.5 times of grain, i.e. 24 quintals per acre.

Meena and Ramraj Patel, a 14-bigha (8.7 acres) farmer from Nandri village in Dausa’s Sikrai tehsil, have already sown bajra on a third of their holdings. They did it on June 9 and June 14, following western disturbances-induced showers in the preceding days. “Farmers in south Haryana and Rajasthan

mostly sow *bajra* from end-May through June, with the pre-monsoon showers. The monsoon rains come after sowing and germination happens. Some farmers, in the absence of pre-monsoon showers, give one pre-sowing irrigation. Even with rainfall deficiency, they may have to irrigate just two more times — at 30 days and 60 days after sowing,” notes Satyender Singh, CEO (Seeds) at Crystal Crop Protection Ltd.

A maximum requirement of three irrigations — compared to at least five-six for cotton (a 160-day crop), four-five for wheat (130-140 days) and two-three for mustard (120-130 days) — has made *bajra* the first-choice crop for farmers across Rajasthan, southern Haryana and neighbouring parts of UP. This is especially so in what increasingly appears to be an El Niño-influenced deficient monsoon year.

“*Bajra* needs very little irrigation. Its requirement of fertilisers (20 kg of di-ammonium

phosphate and one bag or 45 kg of urea) and agro-chemicals (0.5 kg of Atrazine 50% wettable powder herbicide) per acre is also low. And it gives fodder that is of better quality than tuda (chopped wheat straw),” points out Bansilal, a 55-year-old farmer from Balawas village in Bawal tehsil of Haryana’s Rewari district, who has sown *bajra* on 5.5 out of his total 10 acres.

Interestingly, despite being a largely rainfed crop — more so, in the Jodhpur-Jaisalmer belt of western Rajasthan — bajra has an estimated 18,000-tonnes commercial hybrid seeds market worth roughly Rs 720 crore at an average farmgate price of Rs 400 per kg. The top two companies — Corteva Agriscience (‘Pioneer’ brand) and Crystal Crop Protection (‘Proagro’) — have a 50% combined share of that, with Tata Rallis (‘Dhaanya’), Nath Bio-Genes, Seed Works International, JK Agri Genetics and Hytech Seed India being the other major players.

“Farmers traditionally grew bajra only for fodder and grain for self-consumption. But with the higher yields from hybrids, it has emerged as a commercial crop. Bajra grain is even mixed with maize for use as poultry feed,” states Satyender Singh. His company’s ‘Proagro 9001’, which is planted on some 1.6 million hectares, and Corteva’s ‘Pioneer 86M94’ are among the popular hybrids.

Bansilal pegs the production cost of *bajra* at Rs 19,000-20,000 per acre. At 16 quintals yield and Rs 2,000/quintal price, the farmer would net Rs 12,000-13,000 per acre.

“That’s decent, as it excludes the value of fodder,” according to Naresh Goyal, one of India’s largest *bajra* seeds wholesaler. His Alwar (Rajasthan)-based firm, Rahul Enterprises, does an annual turnover of Rs 50 crore from about 200 tonnes of *bajra*, 400 tonnes of wheat, 30 tonnes of onion and 10 tonnes of mustard seeds.

16TH BRICS NSAs’ MEETING

India welcomes Iran-US deal with ‘cautious optimism’, says Doval

Hold high banner of multilateralism, says Wang Yi; tense standoff between Iran and the UAE

Divya A
New Delhi, June 23

NATIONAL SECURITY Advisor (NSA) Ajit Doval said on Tuesday that India welcomes the Memorandum of Understanding (MoU) between the United States and Iran with “cautious optimism” and is hopeful it will help energy security.

Speaking at the 16th BRICS NSAs’ meeting in New Delhi, Doval said, “India welcomes the MoU reached between the US and Iran. We have got cautious optimism, and we hope that it will work. It will help energy security. The opening of the Strait of Hormuz is a very welcome development.”

Chinese Foreign Minister Wang Yi, Russian Security Council Secretary Sergei Shoigu and Iran’s Deputy Secretary of the Supreme National Security Council Ghadir Nezamipour were among the BRICS countries’ representatives who attended the meeting.

The group of top national security officials also called on



Prime Minister Narendra Modi and NSA Ajit Doval (extreme right) with the top security officials of BRICS countries, in New Delhi on Tuesday. ANI

Prime Minister Narendra Modi. “In a changing global landscape, BRICS has a vital role in deepening security cooperation and addressing shared challenges, from terrorism and cyber security to emerging technologies,” PM Modi posted on X.

The National Security Advisers and heads of delegation from BRICS member countries exchanged views on security challenges confronting the world. “In the non-traditional realm, they deliberated on challenges related to energy security, food security, supply chain security, emerging technologies utilized by terrorist networks, cyber security and climate-induced instability,” said a statement by MEA at the conclusion of the meeting.

“We are meeting at a very tumultuous time. The world is be-

leaguered by military conflicts and complex security problems. It is facing geopolitical uncertainties, economic strains and disruptive technology,” Doval said.

“Not only that the threats are compounding, but the instruments and institutional mechanisms are increasingly finding themselves to be inadequate to resolve or mitigate these conflicts. Multilateralism is on the decline,” Doval said.

Meanwhile, tensions erupted between the delegates of Iran and the United Arab Emirates as Iranian officials formally accused the UAE of direct involvement in military strikes against Iran during the operations by the US and Israel. The heated exchange mirrored tensions seen earlier at the BRICS Foreign Ministers’ meeting in

May.

Later, in a post on X, the Iranian Embassy in India stated that Nezamipour rejected allegations previously leveled against Tehran by the UAE representative. “Dr. Ghadir Nezamipour... rejected the allegations made against the Islamic Republic of Iran by the representative of the United Arab Emirates,” the Embassy wrote.

Referring to recent developments in the region, he wrote: “The entire world witnessed that the United States and the Zionist regime were the initiators of the aggression and the crisis in the Strait of Hormuz. Part of these attacks were launched from bases located on the territory of the United Arab Emirates. Nevertheless, instead of condemning these hostile actions, the UAE di-

rectly participated in the aggression and allowed its territory to be used as a platform for attacks against Iran’s civilian infrastructure, schools, and hospitals.”

At the meeting, China’s Foreign Minister Wang Yi called on BRICS countries to jointly respond to global challenges, from Ebola to AI, and strengthen cooperation on strategic mineral resources, according to a statement from his ministry. The Chinese diplomat said the group should “hold high the banner of multilateralism” and firmly oppose unilateralism and protectionism.

NSA Doval asserted that “non-traditional threats” have advanced against conventional responses. “Non-traditional threats have transcended national borders and have developed defeat systems against conventional responses. Innovative disruptive technologies, more camouflaged variants of terrorism, cyber threats, in a world are getting increasingly digitised,” he said.

“We are here from different continents, from different areas, and it’s a grouping where we bring with us very diverse experiences. We have got a very special role to play in this world, which appears to be in turmoil, a world which appears to be changing, a world in which the instruments of conflict resolution are probably getting blunted,” he added.

Govt tightens FCRA norms for NGOs getting foreign funds, revises penalties

Express News Service
New Delhi, June 23

THE HOME ministry has tightened the FCRA framework for NGOs and other associations, revising compounding penalties and rewriting the rules to make registrations purpose-specific, while expressly excluding proselytisation from several religious categories, according to gazette notifications issued on Monday.

The amended rules say registration certificates must now specify the exact purpose or purposes and the States or Union Territories where an association will operate. Applicants will have to choose their activities only from a pre-defined schedule, and existing associations have been given one year to file an intimation in the new Form FC-6F saying which purpose and geography they want to retain.

The schedule lays out permitted activities under religious, cultural, economic, educational and social heads. In the religious category, it includes “construction, renovation, and maintenance of temples, mosques, churches, gurudwaras, monasteries, synagogues, and other places of worship,” along with preservation of scriptures, dharamshalas, langars and religious education. The religious category is one with the most significant changes, allow-

Most significant changes are in the religious category for which the Home Ministry has listed activities that are allowed “excluding proselytisation”

ing the said activities “excluding proselytisation”. The same exclusion appears in items on documentation and revival of indigenous and tribal faith practices, and on religious education, moral instruction, satsangs, discourses and meditation retreats.

One entry says support is allowed for “the study, documentation, and preservation of religious philosophy, theology and religious history (excluding proselytisation),” while another permits “conduct of religious education, moral instruction, satsangs, discourses, and meditation retreats (excluding proselytisation)”. A third religious category on indigenous and tribal faith practices also carries the same rider: “documentation, preservation, and revival of indigenous and tribal faith practices, rituals and systems of worship (excluding proselytisation)”.

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Padma Awards 2026: Honouring Excellence



(Clockwise from top right) PM Narendra Modi, Lok Sabha Speaker Om Birla, Home Minister Amit Shah and Union Minister Piyush Goyal look on as the wife of JMM patriarch and tribal leader Shibu Soren receives the Padma Bhushan (posthumously) from President Droupadi Murmu on Tuesday. Singer Alka Yagnik (Padma Bhushan); Director of IIT Madras, Prof. Veezhinathan Kamakoti (Padma Shri); tennis legend Dr Vijay Amritraj (Padma Bhushan); cricketer Rohit Sharma (Padma Shri); and actor Mammootty (Padma Bhushan) also received their honours at the ceremony held at Rashtrapati Bhavan. Actor Satish Shah was awarded Padma Shri posthumously. ANI & PTI



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India doesn't just need start-ups, but scale-ups that become global giants



SACHCHIDANAND SHUKLA

A STATISTIC doing the rounds is that, at the current rate of profit growth, the taxes paid by Samsung and SK Hynix will be around \$430 billion over the next three years, almost equal to half of South Korea's national debt. Back home, amid the doom and gloom, two news items sparked hopes for our ability to build globally competitive giants. In early April, it was reported that Amul had become India's first FMCG firm to hit a turnover of Rs 1 trillion. Then came news that RIL had become the first Indian company to cross \$10 billion in profits. India had 35 companies with a turnover of over Rs 1 trillion in FY25. However, only one has crossed \$10 billion in profits, a watershed moment for the Indian corporate sector. The US and China boast of dozens of such firms, and Japan has multiple companies consistently above this threshold.

A few questions come to the fore. How important is it to have large firms with big profit pools? Does this divergence between topline and bottom line in terms of scale point to any structural issue? Is there an issue of "economic populism" or anti-big-business sentiment that views profits negatively?

The history of economic development suggests large, well-governed companies have been among the most reliable engines of productivity and innovation, creating the economies of scale necessary to compete on

the global stage and raise living standards.

Let us start with productivity. Large firms spread fixed costs, such as those of R&D, compliance and digital infrastructure, across vast output, driving down unit costs and raising efficiency. Innovation, too, is often scale-dependent. Breakthroughs require patient capital, tolerance for failure and multidisciplinary talent — attributes concentrated in large enterprises. The US technology sector illustrates this vividly. Global competitiveness follows from this capacity to invest and integrate. Large firms build brands, control distribution, and orchestrate cross-border supply chains. They shape standards and capture value in global markets. They are significant direct employers and their larger contribution is often indirect: Dense supplier ecosystems, service providers and downstream distribution channels. They also contribute with higher wages.

As for the structural issue, India's corporate story should not be viewed only through the lens of scale via revenues. By that measure, India has made real progress: A growing cohort of firms now cross the Rs 1 trillion revenue mark and balance sheets are in their best-ever shape after years of deleveraging. Yet beneath this success lies an asymmetry that deserves closer attention. India has built large companies. But not enough that are globally dominant, innovation-led and embedded in the highest-margin segments of the world economy.

Three features define this gap.

First, Indian firms tend to scale domestically rather than globally. The home market is large and has been a powerful growth engine. Many firms have leveraged this demand to build formidable positions

across sectors. But global revenue exposure remains limited outside a narrow band of sectors, notably IT services, pharma and to an extent auto and oil products. Even here, the model is largely export-oriented services, assembly or re-exports rather than ownership of products, platforms or patents. In contrast, the world's most valuable companies, from Apple to Toyota, derive strength from global market share, cross-border supply chains and pricing power built on brand and intellectual property.

Second, India's corporate profit pool is still unusually concentrated in finance and commodities finance. Financials and commodity majors account for a disproportionate share of aggregate profits with profit after tax contribution at 41 per cent and 19 per cent respectively. This is not unique to India, but the skew is more pronounced. These sectors are capital-intensive and often cyclical, with returns shaped by global price movements or credit cycles rather than sustained innovation. In advanced economies, a larger share of profits accrues to technology, pharmaceuticals and advanced manufacturing, sectors where firms command durable margins through intellectual property and network effects.

Third, India's presence in high-margin, innovation-driven sectors remains negligible. There are few domestic equivalents of frontier firms like NVIDIA that dominate critical nodes of the global technology stack. India's digital economy has produced successful platforms, but most are domestically focussed and operate in intensely competitive, low-margin environments. Global rents in software, semiconductors and advanced industrials continue to ac-

crue to firms headquartered elsewhere.

This divergence is not simply a matter of top-down policies or corporate strategy; it also reflects fundamental conditions. India's R&D spending, at sub-1 per cent of GDP, lags far behind that of peers. Access to patient risk capital, particularly for deep-tech ventures, remains constrained. Regulatory uncertainty and fragmented factor markets raise the cost of scaling across states and sectors. And while India has integrated into global trade, it is yet to fully embed itself in the most lucrative segments of global value chains.

India's development journey is entering a new phase amid a fast-changing global backdrop. The next leap, jobs creation at scale and flow of investments, will come not from incremental growth but from creating many profitable firms. Hopefully, we have travelled some distance from the Economic Survey 2017-18 — which observed that the country had shifted "from crony socialism to stigmatised capitalism" — so that profit isn't a dirty word and businesses are not perpetually viewed with suspicion that hinders reforms and erodes investment sentiment.

To power India's transition to a high-income economy, we need dozens more such domestic champions with the scale, ambition, and execution depth that earn more than \$10 billion in profits. The Korean examples above or the US Magnificent 7 are cases in point. India doesn't just need start-ups, it needs "scale-ups" that become global giants with large profit pools. The real question that needs answering by policymakers and corporates is then: Are we optimising for scale (only via revenues) or global competitiveness (profits plus pricing power)?

The writer is group chief economist, L&T. Views are personal

Will a nation grow, stagnate, decline? Technology will tell



RAJEEV CHANDRASEKHAR

THERE IS a question every civilisation has had to answer in its own era: What is the engine of prosperity? For most of human history, the answers were familiar — land, labour, capital, natural resources, trade routes. Nations that commanded these inputs commanded wealth and power. The Industrial Revolution added machinery and energy to that list. The 20th century added finance, institutions, and geopolitical leverage. But we are living through a rupture in that long pattern. For the first time, technology is not merely one factor among many that supports economic growth. It is the primary, foundational, and irreplaceable determinant of whether a nation grows, stagnates, or declines.

Consider what the last three decades have revealed. Countries that invested early and seriously in technology — the US, China, South Korea, Taiwan, Israel — have generated disproportionate shares of global wealth and wielded disproportionate geopolitical influence. Contrast this with resource-rich nations that failed to build technological capacity. They remain dependent — their wealth volatile, their growth episodic, their strategic position weak. Covid confirmed this in the starkest possible terms. Nations with strong digital infrastructure maintained economic activity. Nations with mRNA technology capability produced vaccines at unprecedented speed. Nations with advanced logistics and AI-enabled supply chains recovered faster.

Previous technological revolutions unfolded across decades or centuries. Nations could observe, adapt, and catch up. That window is narrowing rapidly. AI, in particular, is not a static capability that can be acquired off the shelf. It compounds. A nation that builds strong AI capability today will have exponentially stronger capability in five years. A nation that delays will face not a gap but a chasm.

Recent moves by the US government to prohibit access to certain AI models are a clear sign that technology denial is and will be a part of the geopolitical toolkit of certain nations. India has the demographic scale and intellectual capital. What it has historically underinvested in

is the third ingredient: Technological sovereignty. The capacity to design, manufacture, and deploy critical technology on Indian soil, under Indian control, for Indian strategic and economic purposes. The India Semiconductor Mission, the PLI and DLI schemes, the IndiaAI mission, the Digital India infrastructure, the STA framework for platform and AI regulation — these are steps in the right direction. But they are the first steps. The destination is an India that does not merely consume technology or export talent, but that is a full-spectrum technology power. That destination will only be reached if policymakers, investors, and entrepreneurs internalise that technology is the substrate on which every other sector runs.

There is a final, democratic dimension to this argument that is often overlooked. Technology-driven economic growth is, at its best, the most broadly distributed form of prosperity in history. Digital platforms have given small businesses access to national markets. Mobile payments have given unbanked citizens access to the financial system. Telemedicine has given remote communities access to healthcare. Online education has given first-generation learners access to world-class knowledge. In a country like India, these gains represent the difference between exclusion and participation for hundreds of millions of people. The politics of technology in India cannot be the preserve of elites.

History will record the current era as the moment when technology ceased to be a means to an end and became the end itself. Nations that understood this early and acted with seriousness and urgency will write the story of the century. Those that did not will find themselves reading it. India has every reason and every capability to be among those who write it. The question is only how urgently we choose to.

The writer is BJP Kerala state president, MLA for Nemom, former minister of state for Electronics & IT, and the architect of India's IT Rules 2021 and the Safe-Trusted-Accountable (STA) framework for platform and AI governance. Views are personal

History will record the current era as the moment when technology ceased to be a means to an end and became the end itself

The Ideas Page

WEDNESDAY, JUNE 24, 2026

Why industry can't afford to wait for the state to drive the robotics revolution



RAJA MANDALA
BY C RAJA MOHAN

ELON MUSK'S vision of "amazing abundance" imagines a world in which goods and services become plentiful and inexpensive, thanks to the unfolding technological revolution. The idea sounds fanciful, but it has a long lineage. Civilisations have long dreamt of magical sources of plenty — the *akshayaapatra* of Indian mythology, the cornucopia of the ancient Greeks. Karl Marx, too, believed that advancing productive forces could eventually liberate humanity from drudgery, but the obstacle was in the exploitative structure of social relations.

Musk's bet is narrower than Marx's. He is convinced that the tech revolution at hand could produce societies of "universal high income". Whether this seductive vision is real or not, the tech transformation is here and is called "embodied intelligence" or "physical AI".

Digital AI generates answers to questions and is moving towards the simulation of reality, but it remains locked inside your computer. "Embodied intelligence" — robots, often built in vaguely human form and known as humanoids, that can sense their surroundings, make decisions and use mechanical limbs to act on them — promises to step into the factory, the hospital ward and the battlefield. Musk's bet is that such humanoid robots could become the most consequential product ever made, doing for production what the computer did for information.

This is not fantastical futurism. Industrial robots have populated factories for decades. The new ambition is to make them adaptable enough, by empowering them with AI, to work in spaces designed for humans rather than machines. That ambition is fast becoming one of the defining strategic contests of this century, and it increasingly runs

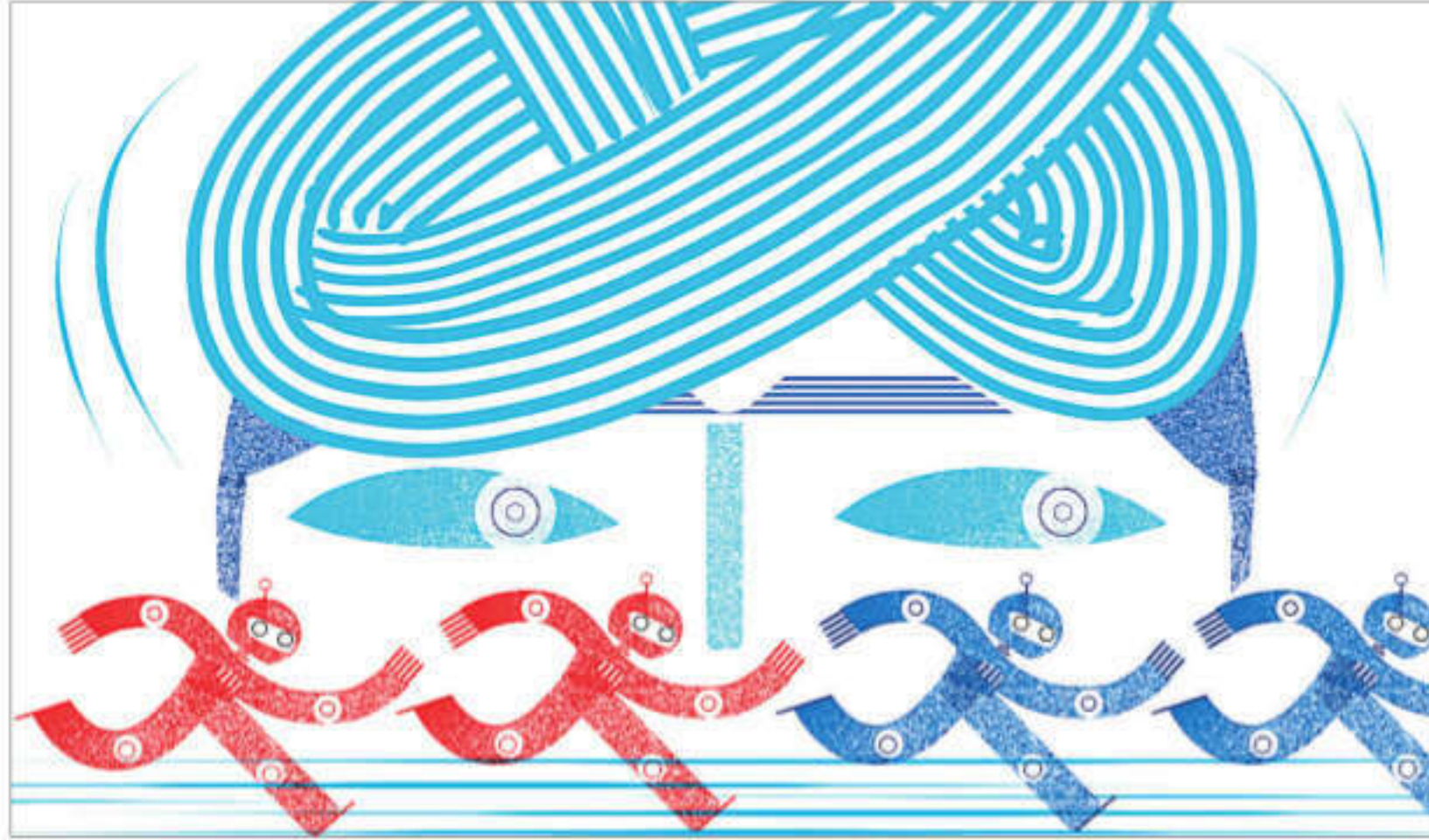


ILLUSTRATION: C R SASIKUMAR

through Washington and Beijing.

America still leads in frontier artificial intelligence, advanced chip design and the software architecture that will eventually serve as the brain of any humanoid robot. China has built something different: An industrial ecosystem to mass-produce the body. According to the International Federation of Robotics, China accounted for 54 per cent of all industrial robot installations worldwide in 2024 — some 295,000 units, the highest annual total ever recorded by any single country — and its operational stock crossed 2 million, by far the largest in the world. China is fast becoming for robotics what it already is for solar panels, batteries and rare-earth processing: The world's dominant manufacturing platform.

In robotics, then, as in several other frontier technologies, America increasingly supplies the brains while China supplies the bodies. Neither side is content to stay in its lane. Beijing is pouring resources into closing the gap in AI models; meanwhile, Washington is rediscovering industrial policy to rebuild ad-

Unlike China, India cannot isolate its robotics ambitions from the world; its near-term task is to combine international collaboration with the patient building of domestic research, design and manufacturing capability

vanced manufacturing at home.

For now, China dominates the global humanoid robot market, producing roughly 85 per cent of all humanoids worldwide. According to *The New York Times*, Chinese firms like Unitree and AgiBot have begun mass production, and US companies are determined to catch up. Musk plans to begin pilot production of the Optimus 3 humanoid robot soon. He hopes to scale to high-volume manufacturing in the coming years, eventually expanding to a 10-million-unit-per-year production line at a Texas gigafactory.

India's place in this race remains modest. The country installed 9,100 industrial robots in 2024, a 7 per cent rise on the previous year, but that places it only sixth in the world by annual installations — well behind not just the United States, Japan and China but also South Korea and Germany. India's overall robot density of around 10 continues to trail the global average of 132 robots per 10,000 manufacturing workers. It is a fraction of South Korea's extraordinary 1,200. If America and China are contesting leadership in embodied intelligence, India is a mere spectator.

But the stakes for India could hardly be higher. For three decades, the country's comparative advantage has rested on an abundance of cheap labour. (It is a different matter if we have actually leveraged it for collective benefit.) The age of embodied intelligence puts a big question mark over that asset. The very resource that once seemed to favour India risks becoming a constraint in a world where manufacturing competitiveness depends increasingly on robotics rather than on wage differentials.

Self-reliance rhetoric is no substitute for strategy here. Unlike China, India cannot isolate its robotics ambitions from the world; its near-term task is to combine international collaboration with the patient building of domestic research, design and manufacturing capability. There are grounds for some optimism. SSI Mantra, India's first indigenous surgical robotic system, has already conducted telesurgeries across thousands of kilometres, demonstrating that Indian engineers can compete at the technological frontier when talent, demand and regulation align. Several other companies, like GreyOrange, are pressing ahead with robotics development. The challenge lies in building industrial-scale robotics.

The Indian government can and should set incentives, fund research and shape regulation. But policy cannot substitute for actions at the firm level. The GoI's Draft National Robotics Strategy has been around since 2023 and could eventually turn into a robotics mission. But if Indian industry waits for a state-led mission to drive the robotics revolution, it may find, as it has with other technologies before, that the revolution has already happened elsewhere.

Musk's "amazing abundance" may remain a distant horizon or be realised only in part. The race to build the machines that might get the world there, however, has already begun. India's place in it will be decided mainly by the appetite of Indian capital to invest, innovate and take risks at the scale the moment demands.

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ADARSHA KAPOOR

IN THE last few months, incidents of fire in buildings functioning as coaching institutes, hotels, and similar establishments have attracted wider public attention. The widely reported incidents are typically those that result in loss of human lives. However, many such incidents largely escape public scrutiny because they do not lead to fatalities. The issue is much larger than it appears.

If the pattern of these incidents is studied, certain facts stand out. First, most have occurred in buildings with occupancy levels and usage patterns that exceed those for which they were originally designed. Preliminary reports suggest the building in Lucknow, gutted by fire on Monday, may have been sanctioned for residential use, while it was accommodating commercial and other activities. In essence, there may not be anything wrong with this, as most master plans and building by-laws permit mixed-use development if such buildings comply with fire safety regulations.

Second, many of these buildings are in congested urban areas like urban villages, unauthorised colonies, Tier-II and Tier-III cities. Again, there is nothing wrong with these areas, as they are products of the evolution of urban development. The problem lies in the fact that high-footfall activities are flourishing where access roads are less than six metres wide and often do not allow the entry of fire tenders.

Third, there is a widespread

There is a widespread lack of awareness among owners and disregard among administrative agencies when it comes to enforcing emergency-response measures and conducting regular safety audits

lack of awareness among owners and disregard among administrative agencies when it comes to enforcing emergency-response measures and conducting regular safety audits. In the national capital, municipal representatives visit premises to sensitise owners about the ill effects of stagnant water, yet there is virtually no initiative to educate people about fire-safety measures. Other factors include corruption in the approval of building plans, lack of awareness regarding building insurance, and archaic building regulations.

In recent years, as part of the government's "ease of doing business" initiative, compliance requirements for smaller-occupancy buildings have been relaxed. While this has simplified approvals, applicants often fail to realise that they remain responsible for ensuring their buildings comply with the fire-safety provisions of the National Building Code. These include minimum access widths, refuge areas, fire staircases, and installing fire-safety equipment.

The real-estate bubble has resulted in a multifold increase in property prices. Residences, workplaces, and shops have largely become unaffordable for the middle-, lower-middle and poor sections of society. They are often forced to move into urban villages and unauthorised colonies. Development authorities and planning agencies have been quick to call these out as illegal, but have failed miserably to increase the supply of affordable

units. They have also failed to preempt the demand and at least ensure such areas have the necessary infrastructure. Bulldozing them is not a solution. They require a more balanced infrastructure strategy.

This brings us to a critical aspect of building operations and maintenance. There appears to be a complete lack of awareness regarding the importance and application of fire-safety norms, particularly in smaller buildings. Since the Uphaar Cinema incident, fire safety approvals and enforcement mechanisms for large-occupancy buildings like theatres, colleges, office complexes and similar establishments have become stringent. This is reflected in the fact that fire incidents in such buildings are now generally the result of disasters, whether natural or caused by electrical malfunctions. In smaller buildings, owners, residents, visitors, and even administrative officials often remain unaware of basic fire-safety and emergency response measures. Fire drills are rarely conducted in such buildings. Many do not even have fire extinguishers. Equally concerning is the apparent lack of effort to address these shortcomings.

I am compelled to arrive at the fact, though hesitantly, that we are quick to run sealing drives, bulldoze areas we feel are illegally built or give money to the relatives of people who die. But we have failed to take a pause, assess our mistakes and realise that response to such incidents cannot be a one-time affair.

The writer is a practising urban designer

• LEGAL

Intellectual disabilities & the question of choice in giving birth

Vineet Bhalla
New Delhi, June 23

THE KARNATAKA High Court permitted the parents of a 23-year-old woman with severe intellectual and developmental disabilities a total abdominal hysterectomy, or the surgical removal of the uterus, last week. The ruling was the latest instance of courts’ intervention in the reproductive autonomy of women with intellectual disabilities — decisions that often involve the complex intersection of law, medicine and human rights.

Why approach courts?

Historically, women with intellectual disabilities have been vulnerable to forced sterilisations and non-consensual medical procedures, often justified by caregivers as a matter of convenience or under the guise of protecting them from the consequences of sexual abuse. To prevent this, Indian law places strict safeguards on procedures that permanently alter a person’s reproductive capacity. Section 10 of the Rights of Persons with Disabilities Act, 2016, prevents persons with disability from being subjected to any medical procedure leading to infertility without their free and informed consent. A legal dilemma arises when a woman’s intellectual disability is so severe that she lacks the cognitive capacity to understand the nature and consequences of a procedure, rendering her unable to give “informed consent”. In such scenarios, caregivers and doctors cannot unilaterally make the decision and must approach a court. The court does not simply substitute its own judgment for the individual’s; it conducts an inquiry to determine what course of action lies in the “best interests” of the person.

BEST INTERESTS

- For individuals unable to care for themselves, the courts invoke ‘parens patriae’: a doctrine wherein the court steps into the shoes of a guardian.
- The court conducts an inquiry to determine what lies in the person’s “best interests”, prioritising their health, dignity, and bodily integrity.

particularly from marginalised communities, under government health insurance schemes. These procedures were often allegedly performed in private hospitals without consent or informing the women about side-effects. Recognising this as a serious violation of the fundamental right to health under Article 21, the SC directed all states and Union Territories to strictly implement the Union Health Ministry’s 2022 Guidelines to Prevent Unnecessary Hysterectomies. The court mandated the formation of hysterectomy monitoring committees at the national, state and district levels to audit such surgeries and directed the blacklisting of hospitals found performing the procedure without necessity or consent.

The abortion dilemma

While the Karnataka case dealt with a hysterectomy, most of the jurisprudence regarding the reproductive rights of intellectually disabled women in India revolves around pregnancies, often resulting from sexual assault. Here, the Medical Termination of Pregnancy Act, 1971, comes into play. Under the Act, if a pregnant woman has a mental illness, a pregnancy can be terminated with the written consent of her guardian. The law, however, does not extend this guardian-consent provision to women with intellectual disabilities. For them, their own consent remains an absolute legal requirement for an abortion. This distinction came to the fore in *Suchita Srivastava v. Chandigarh Administration*, a landmark 2009 SC judgment. The SC held that a woman’s right to make reproductive choices is a fundamental dimension of “personal liberty” guaranteed under Article 21. The court noted that because she suffered from mental retardation and not a mental illness, the state could not force an abortion without her consent. Courts are also frequently forced to balance reproductive autonomy with the physical survival of the mother and the medical complexities of late-stage pregnancies.

• DEFENCE

From Ukraine to Lebanon, ‘invisible’ drones are redefining asymmetric warfare

Abhinav Chakraborty
New Delhi, June 23

A FRAGILE ceasefire prevails between the Israel Defense Forces (IDF) and Hezbollah in Lebanon. This came after months of fighting that saw the Iran-backed militia deploying a low-cost weapon to lethal effect against Israel’s advanced electronic warfare systems: fibre-optic drones.

‘Invisible’ drones

Fibre-optic drones, as the name suggests, are connected to their operators through fibre-optic cables — these are high-speed, high-strength, and lightweight network cables that transmit data as pulses of light through tiny strands of glass or plastic. This thin cable is first wound onto a spool and covered with a protective shell before being attached to a drone. “So it’s a big spool of very thin wire, almost hair-like, connected to both the drone and the operator. The entire communication is through this cable, and this thin wire pro-

vides security to the drone because no radio emissions can be picked up,” Group Captain Rajiv Kumar Narang (retired), a drone systems expert and senior fellow at the Manohar Parrikar Institute for Defence Studies and Analyses, told *The Indian Express*. When the drone takes off, the cable begins to unwind and can reach reasonable speeds without encountering too much drag. According to Narang, the drone’s information and control is managed through this thin wire, which initially allowed operation over shorter distances of about 5 km and later went up to — as per some claims — distances of even 20 to 30 km. Since these cables can transmit operational data during flight, they enable a drone operator to see their target and the surrounding environment in real time. The Russia-Ukraine war has been the testing ground for innovation in drone warfare. Narang said that given traditional drones emit radio frequency (RF) signals and create their signatures owing to their use of GPS or radio control, they are susceptible to



A Ukrainian first-person view drone with a fibre-optic wire for communication.

jamming, detection, and fixing of position. Fibre-optic drones emerged as the solution.

Tackling the threat

These drones have found a new battlefield in southern Lebanon, where Hezbollah has been fighting the IDF. Reports indicate that Israel, despite its sophisticated

jamming systems, has found it tough to neutralise this threat and suffered setbacks since April, be it in the form of wounded soldiers or destroyed armoured vehicles. Effective neutralisation is preceded by detection and tracking. According to Narang, detection requires proactive systems. “We need to develop better radars and, of course, electro-optic systems and infrared systems. They should be able to provide real-time detection, identification, and tracking of small, slow and low flying drones,” he said. Narang said the only source for detection of a fibre-optic drone is its radar cross-section — a metric that determines how visible it is to radar. This requires highly capable radar systems and is extremely difficult with current technological levels. In terms of neutralisation, the drone’s small size and lack of RF signals pose an additional challenge besides the lack of time for detection. Drone neutralisation systems, being multi-sensor and multi-shooter systems, are becoming expensive to achieve assured neutralisation of hostile drones.

A report in *The Jerusalem Post* pointed to efforts by top Israeli defence companies to present a range of solutions to the IDF. Among them were energy-based systems, including one that utilises electromagnetic force to capture and immobilise the drone. Another proposed solution are kinetic interception systems — also called “hit-to-kill” — which destroy targets such as ballistic missiles and hostile drones using kinetic energy, that is, extreme physical force of a direct, high-velocity collision. For now, Israeli soldiers have taken a cue out of Ukraine’s playbook by using rather rudimentary techniques such as protective nets and even metal enclosures on military equipment to block these drones. Besides, these drones also have their shortcomings. For instance, they are susceptible to bad weather owing to their light body frame. They can also stop functioning if the thin cable snaps.

The Indian context

India’s four-day conflict with Pakistan

last May in the aftermath of the Pahalgam terror attack also saw extensive use of drone swarms and loitering munitions. Since then, India has sought to learn from its own experience as well as other battlegrounds. Narang believes swarms would be a “major challenge”. He said: “From an Indian point of view, I think we need to think of developing better ‘hard-kill’ counter-drone systems.” “Hard kill” refers to physically destroying the drone, whether by firing a gun, using a suicide drone, or launching a small missile. Since jamming may not be an option against fibre-optic drones, Narang said that India could also develop Light Combat Helicopters and Light Combat Aircraft, among others, as airborne counter-drone platforms. Narang also suggested greater use of AI and upgradation of munitions in detection and neutralisation alongside hybrid and mobile air defence systems to enhance accuracy and effectiveness.

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• ECONOMY

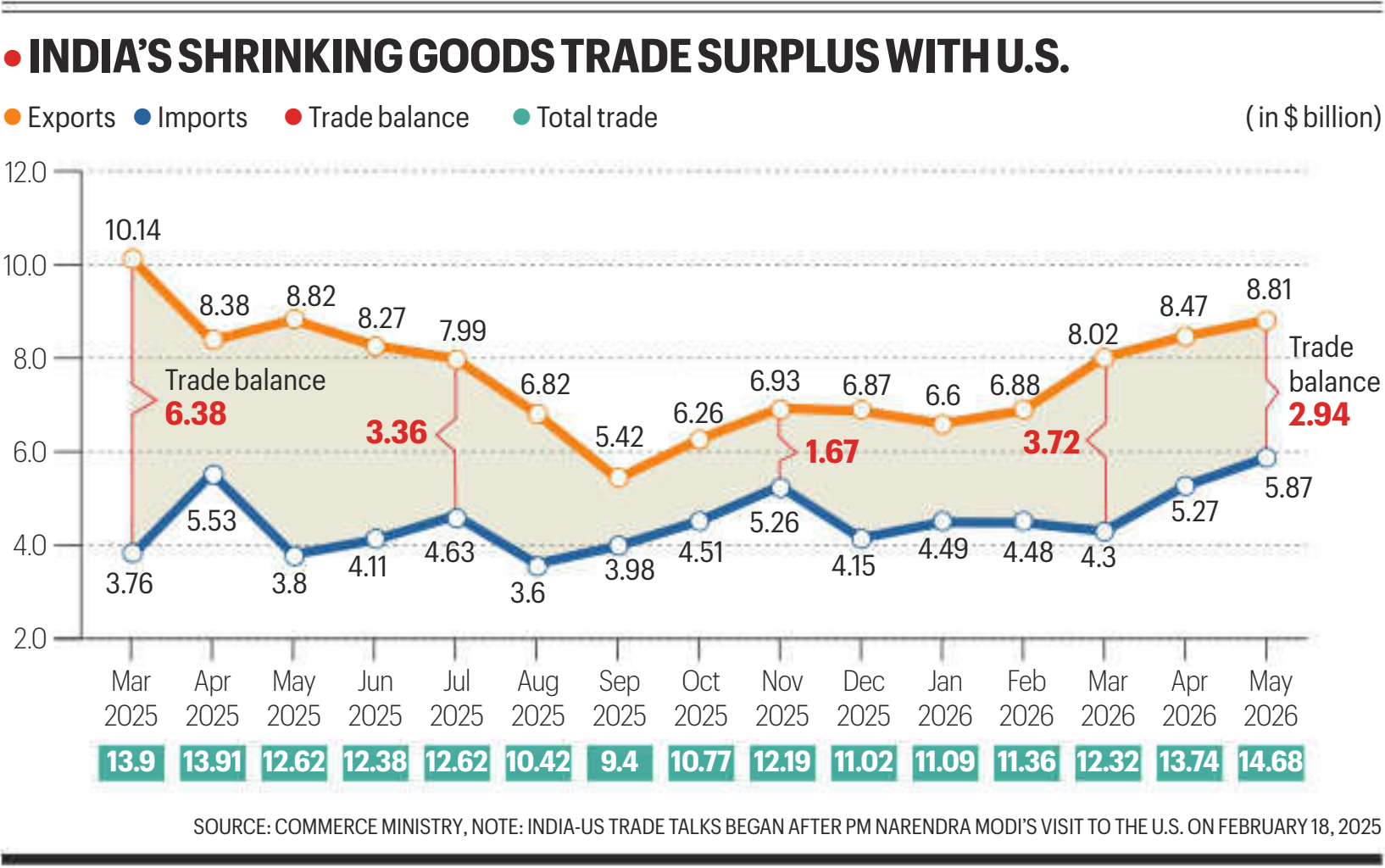
Before tariff reset, will US and India strike balance?



RAVI DUTTA MISHRA

AS US Trade Representative (USTR) Jamieson Greer leads his first trade delegation to India after over a year of negotiations, the two countries appear to be closer than ever to finally completing their trade deal. Greer, in an op-ed last year, wrote that US President Donald Trump uniquely recognises that the privilege of selling into the world’s most lucrative consumer market is a “mighty carrot” and a tariff is a “formidable stick”. America’s approach to trade deals across the globe and the timing of USTR’s visit to India encapsulates this carrot-and-stick approach.

The US had imposed sweeping reciprocal tariffs on several countries last year under a rarely-used legislation called the International Emergency Economic Powers Act (IEEPA). In February, however, the US Supreme Court struck down these reciprocal tariffs, prompting the administration to use alternative legislation to resurrect its tariff policy. One of these pieces of legislation was under Section 122, which gives the US authority to impose 10% tariffs for 150 days. These are now set to lapse on July 24 — when Washington is expected to introduce a new, steeper tariff architecture under Section 301 of the US Trade Act of 1974. The final stretch of the India-US talks come right before this. The US has already proposed 12.5% tariffs on India and is expected to release the findings of its second Section 301 investigation on India and 15 other countries well before July 24. India is among the handful of countries with whom the US is yet to formally sign a trade deal. It has already sealed deals with nearly a dozen trade partners, including the EU, Japan, South Korea and several ASEAN countries. While the US has been seeking deeper access into Indian markets, New Delhi has demanded a competitive edge in the tariff rates in Washington’s new Section 301 architecture, along with assurances that no further Section 301 tariff will be opened against India following the deal. The US has opened three Section 301 investigations in Vietnam. China also remains a key Section 301 target. Sergio Gor, the US Ambassador to India, said last month that Washington expects



that a bilateral trade deal with India will be signed in the “next few weeks and months”. He indicated that only “1%” of the deal was left to be concluded, and Indian and US negotiators were working on it. This could explain Greer’s first visit to India. India is primarily worried about a surge in US agricultural products which receive far higher government support compared to incentives given in India. From the US perspective, the talks are aimed at protecting and reviving its industrial base. India, meanwhile, is concerned that high-value imports of tech products will increase, eroding the already shrinking goods trade surplus. Overall, India runs an annual goods trade deficit of over \$300 billion.

Narrowing trade surplus

The US imposed 50% tariffs on India in August — 25% was retaliatory and the rest was linked to Russian oil purchases. This made India the worst hit country. India’s export surplus with the US has been declining owing to the steep reciprocal tariffs that were in place for nearly six months (*see chart*). Data released by the Commerce and Industry Ministry showed that India’s export surplus slipped over 40% from \$5.02 billion in May 2025 to \$2.94 billion in May this year. This came after Trump’s repeated targeting of India over the steep trade surplus and barriers imposed by India on US goods. The declining surplus is concerning for

Shrinking surplus: Why it’s a worry

India runs a goods trade deficit with nine of its ten top trading partners.

The US is the only major economy to which India exports more than it imports.

The timing of US trade chief Jamieson Greer’s visit to India encapsulates the carrot-and-stick approach adopted by America when it comes to trade deals

‘Tough nut to crack’

Greer has been critical of India’s position, saying it had been a “difficult nut to crack”, highlighting differences in agriculture negotiations; however, he had also said that the US had received the “best offer” from India. In a detailed report prepared by his department, Greer pointed out non-tariff barriers across sectors in India, which are hurting US companies trying to export. “There’s resistance in India to certain row crops and other meats and products. As you said, they’re very difficult nut to crack. I agree with that 100%, but they’ve been quite forward leaning...the type of offers they’ve been talking to us about have been the best we’ve ever received, as a country. I think that (India) is a viable alternative market,” Greer had said in December while responding to a question before the US Senate Appropriations Committee.

The result of the talks with Commerce Minister Piyush Goyal assumes significance as several investors are holding on to capex investment, awaiting Washington’s new tariff architecture. For India, a slowdown in investments has resulted in a rapidly weakening currency. India saw gross Foreign Direct Investment inflows rise to a new record of \$94.53 billion in 2025-26, up 17% from the previous year, although the net figure was a mere \$7.65 billion, RBI data showed. Inflows had risen sharply in February on the back of global investor sentiment reversing in the wake of the signing of an interim trade deal between India and the US early that month, which eliminated the penal 25% tariff and reduced the reciprocal tariff to 18% from 25%. Foreign Portfolio Investors had also net bought Indian financial assets in February to the tune of \$4.17 billion. However, once the West Asia war began at the end of February, foreign capital exited Indian shores in droves: \$13.6 billion in March, \$7.56 billion in April.

Greer: China, free trade sceptic

Greer has long been known to be a pro-ponent of Trump’s tariff war architect, Robert Lighthizer, who authored the book *No Trade Is Free*. Greer has long believed that China stole American intellectual property rights to build a manufacturing base in China, which resulted in the loss of American jobs and that “Chinese ambitions are an existential threat to the US”. In the op-ed, Greer said that over the past three decades, the US slashed barriers to allow vast inflows of foreign goods, services, labour and capital. At the same time, other countries kept their markets closed and artificially boosted exports to the US, he wrote.

THE REGULATOR SAID THE PERMISSION IS IN ADDITION TO EXISTING LENDING PROVISIONS

Banks can extend loans against FCNR(B) deposits, says RBI

RBI made FCNR(B) deposits a more attractive source of overseas funding for lenders by absorbing the hedging burden

George Mathew
Mumbai, June 23

THE RESERVE Bank of India (RBI) on Tuesday said Indian banks, including their overseas branches, are permitted to extend loans to non-resident account holders or even issue Standby Letters of Credit (SBLC) in favour of overseas lenders against FCNR(B) deposits mobilised under the new swap facility.

The regulator has said that this permission is in addition to existing provisions that already allow banks to extend secured or unsecured credit and issue guarantees under normal banking norms. The RBI, in its clarification issued as Frequently Asked Questions (FAQ), said banks are

permitted to extend loans to the FCNR (B) account holders and mark lien on such deposits. Lien is a legal claim or right over someone else's property until a debt or obligation is paid.

On June 5, the RBI announced the special dispensation that allows banks to mobilise fresh three- to five-year FCNR(B) deposits until September 2026. It also permitted them to swap these deposits with the RBI at a concessional rate, effectively covering the entire hedging cost.

By absorbing the hedging burden, the RBI has made FCNR(B) deposits a more attractive source of overseas funding for lenders. Experts believe the steps announced may attract an additional \$50 billion in for-

• FCNR(B) DEPOSIT PUSH

THE SPECIAL dispensation allowing banks to mobilise fresh three- to five-year FCNR(B) deposits until September 2026 was announced by RBI on June 5

IT ALSO permitted them to swap these deposits with the central bank at a concessional rate, effectively covering the entire hedging cost

EXPERTS BELIEVE the steps are likely to attract an additional \$50 billion in foreign capital into Indian markets as banks have



offered higher interest rates after considering the hedging sops

eign capital into Indian markets as banks have offered higher interest rates after considering the hedging sops. The RBI will be providing a forex swap for the deposit received. The facility is a plain buy/sell foreign exchange swap from the RBI side covering only the principal

amount of the deposits and not the interest component. "The bank will be allowed to undertake swaps for tenors of less than three years provided they have mobilised fresh eligible FCNR (B) deposits for minimum original tenor of three years as per the scheme," it said. Interest

rates on deposits, including where differential rates of interest are offered, will be subject to compliance with paragraph 32(2) of the Reserve Bank (Commercial Banks - Interest Rate on Deposits) Directions, 2025.

Banks will continue to offer regular FCNR (B) deposits, without availing Swap facility, for customer deposits with a tenor of 3 years and above up to 5 years, without the requirement of a minimum lock-in period of one year. However, records shall be maintained separately, it said.

ECBs can be raised for any period, as permitted in terms of Foreign Exchange Management (Borrowing and Lending) (First Amendment) Regulations, 2026. However, the ECBs of average maturity of three years and above are eligible for this facility. Further, the tenor of the swap will be co-terminus with the repayment schedule or maturity of the ECB, subject to maximum period of five years, the RBI said.

• EXPERTS SAID THE RESULTS MAY REFLECT BEIJING'S PUSH TO PROJECT SELF-SUFFICIENCY IN COMPUTING SYSTEMS MORE THAN ITS POSITION IN THE GLOBAL AI RACE

China beats US with world's fastest supercomputer

Reuters

San Francisco, June 23

CHINA HAS overtaken the US to win the top spot on a list of the world's fastest supercomputers, but the results may say more about Beijing's desire to show self-sufficiency in computing systems than its standing in the global AI race, experts said.

The LineShine system at the National Supercomputing Centre in Shenzhen, China, uses domestically designed chips and won the top spot on the TOP500, a biannual global ranking of supercomputers, with the country's first listing in three years.

The ranking comes as the US and China are increasingly competing in advanced computing, with US President Don-

ald Trump on Monday signing an executive order that aims to put the US ahead of China in the emerging field of quantum computing.

In the June 2026 edition of TOP500, LineShine beat out the previous titleholder, El Capitan, a supercomputer housed at Lawrence Livermore National Laboratory that the US government uses to develop and maintain its nuclear weapons stockpile.

But technology and policy experts interviewed by *Reuters* said the results do not mean that China has the world's fastest computer for AI work because of changes in the computing industry in recent years and the methods used to compile the list. LineShine ranked fourth on a benchmark test designed to simulate computing work that



The ranking comes as the US and China are increasingly competing in advanced computing. REUTERS

is more similar to AI.

Benchmark tests

For decades, supercomputers strung together many separate machines to work on

complex scientific problems such as simulating how atoms interact with one another and were mostly the domain of national labs and universities.

To be ranked on the

TOP500 list, supercomputer operators must run a set of benchmark tests that aims to mimic such work.

But in more recent years, cloud computing companies such as Microsoft, Amazon.com and Alphabet's Google built out massive supercomputers of their own but geared them for AI work instead.

Most of those companies do not opt to compete for a spot on the TOP500 list.

A study last year by AI policy researchers Konstantin Pilz, James Sanders, Robi Rahman and Lennart Heim found that SpaceX-owned xAI's Colossus system was already likely more powerful than the US government's El Capitan.

"If the hyperscalers submitted their systems, this

'world's fastest' would not crack the top five," said Jimmy Goodrich, a senior fellow at the University of California's Institute for Global Conflict and Cooperation.

Chip design efforts

The Chinese victory on the list more likely shows that China wanted recognition for its chip design efforts, which is a change from recent years, experts said. China first took the top spot on the TOP500 in 2010 and traded titles back and forth with the US and Japan until 2023, when China stopped submitting its systems after years of chip- and computing-related export controls from Trump's first administration and later under President Joe Biden.